NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 27.06.2022 AT 11.00 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA) No. 1/230/AMR/2022		230	Shri Gisan Steel Castings and Forgings Pvt. Ltd. (Transferor Company) Deccan Ferro Alloys Private Limited (Transferee Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No. 1/230/AMR/2022 is allowed, vide separate orders

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.01/230/AMR/2022
Connected with
CA (CAA) No.13/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **SHRI GISAN STEEL CASTINGS AND FORGINGS PRIVATE LIMITED**, the Transferor Company (having its registered office in Andhra Pradesh) by **DECCAN FERRO ALLOYS PRIVATE LIMITED**, the Transferee Company (having its registered office in Andhra Pradesh)

BETWEEN:

M/s. Shri Gisan Steel Castings And Forgings Private Limited,
Plot No.4, Ram Nagar, Chintalapalem, Pendurthi,
Visakhapatnam, Andhra Pradesh - 531173.
Represented by Managing Director Mr.Sivarama Raju Pericherla

... Petitioner /Applicant/Transferor Company

AND

M/s. Deccan Ferro Alloys Private Limited,
Plot No.8, Chintalapalem, Pendurthi,
Visakhapatnam, Andhra Pradesh - 531173.
Represented by Managing Director Mr.Sivarama Raju Pericherla

... Petitioner/Applicant/Transferee Company

Date of pronouncement of order: 27.06.2022

S-d/-

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioners: Mr. Santosh Jagtap &
Mr.A.V.V.S.S.CH.B.Sekhar Babu, PCS

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Application is filed by M/s. Shri Gisan Steel Castings And Forgings Private Limited (Transferor Company) and M/s. Deccan Ferro Alloys Private Limited (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Company for Scheme of Amalgamation ("the Scheme" for short) with the Transferee Company. Both the Transferor Company and Transferee Company registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Transferor Company as on 31.03.2021 is Rs.1,05,00,000/- divided into 1,05,000 equity shares of Rs.100/- each. The issued, subscribed and paid up share capital is Rs.1,05,00,000/- divided into 1,05,000 equity shares of Rs.100/- each. The main objects of

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Transferor Company are to carry on the business of produce, manufacture, process, refine, import, export, purchase, sell and generally to deal in and to act as agents, stockists, distributors and suppliers of all kinds of iron, steel products of any description, share and size such as castings, forgings, fabrication, steel tubes and articles, things, compounds, preparations connected with the aforesaid products and in connection therewith to take on lease or acquire, erect, construct, establish, work operate and maintain factories, quarries, mines, workshops & other allied activities.

ii. The Authorised Share Capital of the Transferee Company as on 31.03.2021 is Rs.12,00,00,000/- divided into 12,00,000 equity shares of Rs.100/- each. The issued, subscribed and paid up share capital is Rs.10,69,27,500/- divided into 10,69,275 equity shares of Rs.100/- each. The main objects of Transferee Company are to establish, construct, promote, maintain, organize, undertake, manage, develop, operate and all kind of Ferro alloys plant particularly, Ferro silicon, High Carbon Ferro chrome and other byproducts thereof including Ferro manganese, silicon carbide, calcium carbide, Ferro silicon magnesium, Ferro silicon magnesium titanium, Ferro silicon strontium, Ferro silicon zirconium, Ferro aluminum, Pig Iron and steel, etc.

S.d/-

iii. The Transferor Company and Transferee Company are closely held companies and are under the same management. The entire shareholding in both these companies is directly or indirectly held by the common set of shareholders and on the basis of extensive discussions, meetings and consultations between the members of the Board of Directors of the companies and other professionals it has been decided to take appropriate steps to carry on effectively and efficiently the business of both the Petitioner Companies under one roof by amalgamation of both the Companies in the larger interest of the shareholders, creditors and employees, etc. In order to have a better, efficient and economical management control and running of the business undertakings for administrative convenience and to have economies of large scale operation, it has been proposed to amalgamate both the Companies and further there will be a reduction in administrative costs and it would also result in reduction of overheads and redundancies would also be eliminated. The Board of Directors of Petitioner Companies, at their respective meetings held on 11.09.2021, have resolved to merge both the Companies pursuant to a scheme of amalgamation and arrangement between the Transferor and Transferee Companies.

iv. The Board of Directors of the Petitioner Companies approved their scheme at their respective board meetings held on

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11.09.2021. The appointment date is 01.04.2021. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Equity Shareholders, Secured and Un-Secured Creditors of the Petitioner Companies.

v. The Tribunal by order dated 29.11.2021 dispensed with the requirement of holding meetings of all Equity Shareholders, Secured & Unsecured Creditors of the Petitioner Companies. The scheme of arrangement was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 11.05.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **09.05.2022**
1	The Directorate has received letter dated 21.04.2022 from the ROC, Andhra Pradesh by pointing	Undertaking regarding preservation of books, statutory compliance and authorised share capital of

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	out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	the Transferee Company given by the Managing Director of Transferee Company: 1. To preserve the books of accounts, papers and records of both the Petitioner Companies and not to dispose of them without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall	2. To ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liabilities in any manner.

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	not be absolved for any of its statutory liability in any manner.	3. To file confirmation of the scheme of amalgamation in Form INC-28 with the RoC, AP within the specified time period.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Companies.	4. To file an application with the RoC, AP indicating the revised authorised capital and proof of paying prescribed fees due on revised after setting off the fee already paid by the Transferor Company 5. To confirm that No objection certificate have been submitted against the open charges existed as per the auditors certificate certifying the list of creditors as on 11.09.2021.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company to	

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	file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by Transferor Company.	
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to furnish an undertaking that as and when the demand arises from the Income Tax Department, Transferee Company is ready to pay the said dues, as per rules.	
3	Further the Regional Director (RD) sought this Tribunal to direct the Petitioner/Transferor Company to furnish the	

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	current status of the two open charges as mentioned in the Master Data and also to provide consent/NoCs of the said creditors before the scheme is allowed.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Company has filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator filed on 19.04.2022	Response of the Petitioners Companies filed on 22.04.2022
1	Clause 5 of Part-I of the Scheme dealing with "Record Date" leaving it to be fixed by the Board of Directors of the Transferee Company or a Committee thereof for the purpose of determining the members of the Transferor Company to whom shares will be allotted pursuant to this scheme and hence this Tribunal may be pleased	Undertaking regarding Record Date given by the Managing Director of Transferee Company: 1. Undertaking to the effect that the Record Date as mentioned in Clause 1.4 of Part-I of the scheme would be

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	to direct the Petitioners to submit an undertaking to this Tribunal to the effect that the Record Date would be decided and fixed mutually by the Board of Directors of both the Companies immediately after sanction of the scheme and before dissolution of the Transferor Company on effective date.	decided and fixed mutually by Board of Directors of Petitioner Companies immediately after sanction of the scheme by this Tribunal and before dissolution of Transferor Company on effective date has been given on behalf of the Transferee Company.
2	Clause 9 (a) of Part III of the Scheme seeks to protect all employees of the Transferor Company in service on the effective date shall become employees of the Transferee Company and accordingly this Tribunal may be pleased to direct both the Petitioner Companies to submit an undertaking to this Tribunal to the effect that there would no retrenchment of any employee who were in service as on	2. There would be no retrenchment of any employee who were in service as on appointed date i.e., 01.04.2021. 3. Not to deviate from the provisions of

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	Appointment Date i.e., 01.04.2021 as well.	Accounting Standard-14- Pooling of Interest Method.
3	Clause 11 of Part III of the Scheme provides for accounting treatment. However, it is not specified the method of accounting treatment. Hence this Tribunal may be pleased to direct both the Petitioner Companies to submit an undertaking to this Tribunal to the effect that "Not to deviate from the provisions of Accounting Standard -14- Pooling Of Interest Method".	
4	As per the balance sheet as at 31.03.2021, the Transferor Company is loss making company getting merged in profit making Transferee Company.	
5	There are no proceedings pending against the Directors and both the Petitioner Companies as per information provided by both the Companies vide letter dated	

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	27.12.2021 received by OL on 13.01.2022.	
6	As per directors report dated 03.08.2021 of the Transferor Company and S.No.(v) of Annexure-A to the independent auditors Report dated 11.08.2021 of the Transferee Company for the FY ended 31.03.2021 respectively, it has been stated "the Company has not accepted any deposits during the year".	

6. Finally the Official Liquidator (OL) did not raise any objections against accepting the merger scheme of the Petitioners Companies.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

S.d/-

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.175 to 214 of the Petition)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

S.d/-

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

S.d/-

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.01/230/AMR/2022 stands disposed of.

S.d/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu